

FINANCIAL FEASIBILITY & ROI ANALYSIS

Asset Feasibility Ledger

Strategic Business Plan & Capital Projections | Secunda & Kinross

Energy-Driven Margin Feasibility

A standard agricultural project pays heavy premiums on grid tariff adjustments. By insulating our operational thresholds, our bio-thermal logic locks down a significant structural edge.



Grid Zero Protection

Generating our own sub-floor steam heat avoids the massive high-tariff electrical heating traps that bankrupt standard poultry brooders.



30% Margin Buffer

Lowering operating costs on baseline power shield lets the farm absorb variable grain price shocks without dropping net margins.

Master CAPEX Allocation Structure

Asset Core Infrastructure Entry	Target CAPEX Value	Strategic Feasibility Objective
Structural Shells & Passive Convection Barns	ZAR 1,220,000	Establishes weather-proof, highly resilient animal pens
30kW/30kWh BESS & Biogas Co-Generation	ZAR 1,070,000	Eliminates utility power costs & winter mortality traps
Water Security, Sinks, & Smart Dashboard	ZAR 810,000	Deploys sediment filters, UV sanitizers, and IoT alerts

Variable Cost & Feed Relief Matrix

Mpumalanga Grain Recovery

Feed typically represents up to 70% of livestock variable costs. Local grain yield recoveries in MY 2025/2026 offer valuable relief on direct input spending.

- ✓ **Locked Variable COGS:** Balanced feeding plans capitalize on lower soybean and corn prices.
- ✓ **Medicine Savings:** Structured biosecurity barriers and automated water chlorination save 15% on veterinary drugs.



Input Price Shield

Because our thermal utility costs are locked at zero-grid baseline, the model remains highly viable even during variable feed price spikes.

Poultry Sprint Barn Revenues

High-Velocity Yield Projections

Operating a strict, staggered broiler strategy of 6 waves per year ensures continuous farm occupancy and steady revenue generations.

- ✓ **Yield Target:** 5,760 broilers per batch at 1.77 kg slaughter weight.
- ✓ **Annual Volume:** 34,560 birds per year.
- ✓ **Revenue Profile:** Projected at ZAR 38.00 per kg wholesale price.



Poultry Income

Annual Poultry Sales: ZAR 2,324,500.
Operating Margin: 36% after day-old chicks, feed feeds, and logistics.

Swine Pipeline Cash Revenues

Grower Specialist Strategy

Buying weaners and fattening them to market-ready weights limits high farrowing risks, delivering rapid occupant rotation.

- ✓ **Throughput Math:** 160 hogs per batch spending exactly 16 weeks in grow-out.
- ✓ **Annual Output:** 3 batches yielding 480 hogs per year.
- ✓ **Market Price:** Estimated at ZAR 32.00 per kg carcass weight.



Swine Revenue

Annual Pork Sales: ZAR 1,075,200.

Average carcass weight: 70 kg at market, keeping operational cash flows highly liquid.

Off-Grid Utility Tariff Shield

**ZAR
1.80**

Base Electricity Tariff

Energy Self-Sufficiency ROI

Operating a 30kW BESS and recycling digester engine exhaust to provide floor heat eliminates utility dependencies.

- ✓ **Utility Savings Rate:** Calculated conservatively at ZAR 1.80 per kWh.
- ✓ **Operational Protection:** Saves more than ZAR 64,800 annually in avoided thermal and water pump electricity costs.

5-Year Consolidated Cash Flow

Financial Metrics (ZAR)	Year 1	Year 2	Year 3	Year 5
Consolidated Sales Revenues	3,399,700	3,569,000	3,747,000	4,131,000
Direct OPEX (Feed, Weaners, Docs)	2,160,000	2,214,000	2,269,000	2,385,000
Off-Grid Utility Savings (Recycled)	64,800	68,000	71,400	78,700
Operating Net EBITDA	1,180,000	1,287,000	1,406,600	1,667,300

Cumulative NPV & Investment Payback



Project achieves full investment payback at 2.6 Years, generating high cash velocity.

Financial Sensitivity Stress Test



Feed Swings (15%)

Even if feed prices rise by 15%, the farm remains profitable due to zero grid power bills, preserving a safe 18% EBITDA floor.



Mortality Spike (10%)

Nursery biological isolation cells restrict virus spread to single pods, keeping overall annual yield targets completely safe.



Sustained Blackouts

Zero effect on operations. The BESS microgrid and biogas engine provide complete off-grid operational independence.

Capital Replacement Reserve

Preserving Long-term Assets

To secure our long-term JET investment returns, we mandate rigorous financial reserve sinking fund protocols.

- ✓ **Locked Sinking Fund:** 100% of calculated electricity tariff savings are placed directly into a locked replacement account.
- ✓ **Autonomous Lifecycle:** Reserve accumulates more than ZAR 324,000 by Year 5 to fully fund solar inverter and BESS upgrades.



Capital Sinking Fund

Guarantees that high-tech solar and battery systems are replaced over time without requiring fresh capital inputs from founders.

BANKABLE FEASIBILITY SECURITY LOCKED

**Total CAPEX: ZAR 3,100,000 | Payback: 2.6
Years**

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